



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Alan Forte & Angela Forte

Of

390 Ellis Road

TONIMBUK VIC 3815

Prepared on:

4th December 2020

By your Adviser:

Andrew Lord B Bus (Acc), Dip FS (Fin Plan)

Lakeside Financial

Level 1, 99 Bay Street

Brighton VIC 3186

Ph: 03 9596 5111 Fax: 03 9596 3222

Email: andrew.lord@lakesidefinancial.com.au

Authorised Representative # 324798

Pareto Group Pty Ltd

ABN 11 155 278 078 Australian Financial Services Licensee No. 418700

1/99 Bay Street, Brighton, Vic, 3186

Ph: 03 9596 5111 Fax: 03 9596 3222

What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

4/12/2020

Mr Alan & Mrs Angela Forte
390 Ellis Road
Tonimbuk VIC 3815

Dear Alan & Angela,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Structure and Ownership of Current and Future Investments
- Investment Planning
- Superannuation Structure

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Alan and Angela, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Explore options as to best use of your surplus cash
- Place your assets under the most tax effective ownership structure

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Mrs
First Name	Alan	Angela
Surname	Forte	Forte
Gender	M	F
Date of Birth	24/07/1959	20/09/1961
Age Last Birthday	61	59
Marital Status	Married	Married

Estate Planning

	Alan	Angela
Do you have a Current Will?	Yes	Yes
Do you have Current Powers of Attorney?	Yes	Yes
Do you have a Testamentary Trust?	Yes	Yes

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Property – Tonimbuk	\$2,500,000
Farm – Garfield North	\$1,500,000
Total Lifestyle Assets	\$4,000,000

Investment Assets	
Investment property – Oakleigh	\$650,000
Cash at Bank (Alan's account)	\$1,250,000
Cash at Bank (farm account)	\$300,000
Cash at Bank (Angela's account)	\$100,000
Total Superannuation Assets	\$2,300,000

Superannuation Assets (SMSF)	
Vet Clinic Property	\$750,000
Cash at Bank	\$350,000
Cenversa Shares	\$50,000
Total Superannuation Assets	\$1,150,000

Total ASSETS	\$7,450,000
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LIABILITIES

NIL	
Total Liabilities	\$0

NET WORTH	\$7.450,000
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Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Planning - Recommendations

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2020-21

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$45,000	19c for each \$1 over \$18,200
\$45,001 – \$120,000	\$5,092 plus 32.5 cents for each \$1 over \$45,000
\$120,001 – \$180,000	\$29,467 plus 37 cents for each \$1 over \$120,000
\$180,001 and over	\$51,667 plus 45 cents for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase	-	Tax rate = 15%
Superannuation in 'pre-retirement pension' phase	-	Tax rate = 15%
Superannuation in 'allocated pension' phase	-	Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-65	Age 65-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 65	Age 65 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute

Investments Currently Outside of Superannuation

- Alan and Angela, you currently have the following surplus funds in your personal name:

Cash	\$1,250,000
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- You seek advice with respect to the best use of these funds.

Concessional Superannuation Contribution Carry Forward Rule

Members with a total superannuation balance below \$500,000 can carry forward any unused concessional contributions cap amounts that accrue from 1 July 2018 for up to five financial years. This allows eligible members who do not use all of their concessional cap in a particular financial year, to carry forward their unused concessional cap amounts to future years.

Alan, as your superannuation balance is greater than \$500,000 you are unable to avail of the Carry Forward Rule.

Recommendation 1:

- In light of the fact that superannuation is a tax effective environment to hold investment assets, we recommend to make superannuation contributions based on the following timeline (these contributions remain within the contribution caps detailed in the 'Superannuation Contribution Limits' section):

Who	Timing	Type of contribution	Amount
Alan	Pre 30/06/21	Personal concessional	\$15,000
Alan	Pre 30/06/21	Non-concessional	\$100,000
Angela	Pre 30/06/21	Non-concessional	\$100,000
Alan	Post 1/07/21	Personal concessional	\$15,000
Alan	Post 1/07/21	Non-concessional	\$300,000
Angela	Post 1/07/21	Non-concessional	\$300,000
Total			\$830,000

Benefits:

- Any assets held within the fund are effectively being held in the most tax effective environment.
- The returns on balances held within superannuation and invested should be higher than the current returns on cash held in bank deposits.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Personal Concessional Contributions

Alan, you are currently receiving payments under your Income Protection policy of \$9,713 p.m. This equates to an annual taxable income of \$116,556.

The concessional superannuation contribution cap is \$25,000 per annum. You are currently paying approximately \$10,000 p.a. for your superannuation owned TAL Life/TPD policy. Hence, you have approximately \$15,000 of unused cap each year.

By making the personal concessional superannuation contributions detailed on the previous page, you will avail of the following benefits:

Benefits:

- Personal concessional super contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional super contributions will be taxed at a maximum of 15% compared to the 34.5% if taken as income.
- **The total tax saving for a full financial year is \$3,375.**
- **You have increased your combined NET superannuation contributions by \$12,750 p.a. to build a capital base to meet your retirement income goals.**

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Tax Liabilities and Cash Flow Positions

Current Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Income Protection	\$116,556			
Deductions				
Current Personal Contribution		\$0		
TAXABLE INCOME			\$116,556	
TAX PAYABLE				\$28,348
Medicare Levy				\$2,331
Low-Mid Income Tax Offset				(\$283)
NET TAX				\$30,396

Proposed Estimated Tax Liability (\$15,000 personal concessional super contribution)

Income Source	Amount Received	Deduction	Taxable Income	Tax
Income Protection	\$116,556			
Deductions				
Personal concessional super contribution		\$15,000		
TAXABLE INCOME			\$101,556	
TAX PAYABLE				\$23,473
Medicare Levy				\$2,031
Low-Mid Income Tax Offset				(\$733)
NET TAX				\$24,771

* Note: the \$15,000 superannuation contribution will be subject to contributions tax of 15% (\$2,250). Therefore, total tax incurred will be \$27,021.

Therefore, the overall tax benefit is anticipated to be **\$3,375 per annum** (i.e. \$30,396 - \$27,021)

Investments within SMSF

- You currently have approximately \$350,000 in your SMSF Macquarie Cash Management Account (CMA).
- Upon making the recommended superannuation contributions detailed earlier, a further \$830,000 will be in the SMSF Macquarie CMA by July 2021.
- You will therefore have a total of \$1,180,000 in cash in your SMSF and you seek advice with respect to the most appropriate way in which to invest these funds.

Recommendation:

- Leave a buffer of \$80,000 in your Macquarie Cash Management Account.
- Invest the remaining \$1,100,000 in a Colonial First State Wholesale Investment in the name of your SMSF and invest it in line with a *Moderately Conservative* asset allocation.

Investment Recommendation:

Asset Class	% of Portfolio	Value
Australian Shares	24%	\$264,000
International Shares	14%	\$154,000
Fixed Interest	52%	\$572,000
Property	10%	\$110,000
	100%	\$1,100,000

Proposed Portfolio

Colonial First State Wholesale Investment	
Pendal Wholesale Australia Share	\$88,000
CFS Wholesale Aust. Small Companies	\$176,000
CFS WS Global Listed Infrastructure Securities	\$110,000
Colonial First State Wholesale Index Global Share	\$66,000
Colonial First State Wholesale Index Australian Bond	\$572,000
Magellan Wholesale Global Share	\$88,000
Total	\$1,100,000

Performance figures (**net of MER**) for the proposed portfolio as at 31/10/20 are as follows:

Colonial First State Wholesale Investment				
	% of portfolio	1 year	3 years (p.a.)	5 years (p.a.)
Pendal Wholesale Australia Share	8%	-0.51%	0.28%	0.51%
CFS Wholesale Aust. Small Companies	16%	1.64%	2.02%	1.91%
CFS WS Global Listed Infrastructure Securities	10%	-1.12%	0.08%	0.57%
Colonial First State Wholesale Index Global Share	6%	0.14%	0.53%	0.49%
Colonial First State Wholesale Index Australian Bond	52%	1.94%	2.77%	2.16%
Magellan Wholesale Global Share	8%	0.63%	0.63%	0.63%
	100%	2.71%	6.31%	6.27%

Colonial FirstChoice Management Fee

Colonial FirstChoice charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds. Based on your proposed portfolio value, we have provided an estimation of the costs you will pay. **These costs are taken from the performance of each individual investment and are factored into the unit price. They are not fees that will be deducted from your investment as transactions.**

Colonial FirstState FirstChoice Investments	MER %	Amount invested ❶ \$	Estimated fee \$
Pendal Wholesale Australia Share	1.01%	\$88,000	\$889
CFS Wholesale Aust. Small Companies	1.12%	\$176,000	\$1,971
CFS WS Global Listed Infrastructure Securities	1.22%	\$110,000	\$1,342
Colonial First State Wholesale Index Property Securities	0.31%	\$66,000	\$211
Colonial First State Wholesale Index Australian Bond	0.31%	\$572,000	\$1,773
Magellan Wholesale Global Share	2.29%	\$88,000	\$2,015
Total ongoing fees ❶	0.75%	\$1,100,000	\$8,201

❶ Colonial FirstChoice's Management Fee is calculated on the value of your total portfolio. As such we have used your proposed portfolio to estimate your annual ongoing fee.

Please note that there is an additional adviser service fee of 0.30% that is paid by you.

What is paid to your adviser

Plan Fee

As part of the recent AIA Insurance claim, you are entitled to an additional Financial Planning benefit of \$3,000 which covers the fee for this Statement of Advice.

Upfront and Ongoing Fee Disclosure

The following is provided to assist you to gain a clear understanding of the payments and benefits that Pareto Group Pty Ltd, our associates and I will be entitled to receive for services provided to you, if you adopt the recommendations in this plan.

There is an entry fee payable of which the break-up of the fee is disclosed as follows:

		Total Fee Paid by Client		Total Payable to Financial Service Licensee/Financial Adviser and /or its Associates			
Investment Details	Amount Invested	(%)	(\$)	Initial (%)	Initial (\$)	Ongoing (%)	Ongoing (\$)
Colonial FirstChoice Wholesale Investment	\$1,100,000	Flat Fee	\$0	Flat Fee	\$0	0.30	\$3,300
Total	\$1,100,000		\$0		\$0		\$3,300

* The ongoing investment amount has been annualised to provide you with a clear picture of how fees are paid from your investment. Your regular contribution is placed into the individual underlying funds according to the % split of the allocation of your original investment.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended; however, you will need to study the investment statements of the recommended products carefully before you decide to invest.